

The Global Pact for the Environment: Freshwater and Economic Law Synergies

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ABSTRACT

The Global Pact for the Environment has been proposed as an overarching framework for international environmental law, which would solidify and advance this regime in light of pressing challenges and the demands of the UN Sustainable Development Goals. By codifying principles in legally binding form, the Global Pact has attracted high expectations that it can bridge normative gaps in international environmental law and environment-related instruments, such as trade and investment agreements. The present article scrutinizes this prospect by treating the management of freshwater as a case study for the Global Pact's potential success. The article first identifies key interplays between sources of international water law and rules governing international economic law. It then indicates how the Global Pact might effectively minimize or resolve lacunae in the convergence of these regimes without undermining existing instruments and frameworks. The author concludes that the proposed form of the Global Pact is a promising means to clarify normative interactions between freshwater management and international trade and investment, while accelerating and broadening the implementation of environmental principles within these domains.

INTRODUCTION

The saving grace for future wars over water would be if the universal natural resource water were to assume its proper place as an economically valued and traded commodity.¹

So said the international public servant Ismail Serageldin shortly before the adoption of the 1997 UN Convention on the Law of the Non-Navigational Uses of International Watercourses (UNWC) during his tenure as Environment Vice President

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¹ See Esther J. de Haan, 'Balancing Free Trade in Water and the Protection of Water Resources in GATT', in Edward H.P. Brans et al. (eds), *The Scarcity of Water: Emerging Legal and Policy Responses* (Alphen aan den Rijn: Wolters Kluwer, 1997), at 245.

of the World Bank. It remains to be seen whether the market forces commercializing water since that time will offer substantial solutions for mankind's long journey into water scarcity.² It is clear, however, that any such solutions occupy a nexus of international economic law and international water law. Centuries of treaty practice³ and 20th century case law⁴ set the stage for this nexus, which has crystallized during the UNWC's evolution from a reflection of customary laws to a treaty now in force.

While economic globalization has been a prevalent theme in international instruments adopted to protect public goods such as clean water,⁵ the UNWC is not a panacea that comprehensively resolves difficulties arising from the convergence of freshwater and economic legal regimes. As discussed in the present article, the UNWC by its very nature presupposes subsequent agreements between States to elaborate upon and implement its principles—particularly concerning the economic uses of shared watercourses—and excludes certain subject-matter domains that are supplemented by existing agreements at the regional and basin levels. As a result, the intersection of international economic law and freshwater is littered with figurative potholes, and for this reason serves as a useful case study to gauge the utility of the UN's prospective Global Pact for the Environment ('the Global Pact').

The Global Pact aims to provide an overarching framework for international environmental law in order to further solidify, consolidate, and advance this regime in light of pressing environmental challenges, as well as to improve the implementation of international environmental law in furtherance of the Sustainable Development Goals and globally agreed environmental goals and targets.⁶ The UN General Assembly decided in May 2018 by a vote of 143–6 (with six abstentions) to establish an open-ended working group to consider a technical and evidence-based report submitted by the UN Secretary-General in autumn of 2018 and to discuss possible options to address lacunae in international environmental law and environment-related instruments (such as trade and investment agreements).⁷ The working group may discuss the scope, parameters, and feasibility of an international instrument and make recommendations

2 See Herbert A. Smith, *The Economic Uses of International Rivers* (London: P.S. King & Son, 1931) 1; Stephen McCaffrey, *The Law of International Watercourses*, 2nd ed. (Oxford: Oxford University Press, 2007) 5.

3 See further McCaffrey, *The Law of International Watercourses*, above n 2, at 50–51, 61–63, 68–69, 184, 426; Laurence Boisson de Chazournes, *Fresh Water in International Law* (Oxford: Oxford University Press, 2013) 135; Katak Malla, 'Current State of the Law of International Watercourses: Progress and Paradigm Shifts, 1815–2008', 77 *Nordic Journal of International Law* (2008), at 461 and 503.

4 See further McCaffrey, above n 2, at 186–90 (referencing the *River Oder* and *Oscar Chinn* cases before the PCIJ).

5 See Matthias Herdegen, *Principles of International Economic Law*, 2nd ed. (Oxford: Oxford University Press, 2016) 22.

6 UN Environment Programme, 'Towards a Global Pact for the Environment (Nairobi, 14–18 January 2019)'; <https://www.unenvironment.org/events/conference/towards-global-pact-environment> (visited 10 September 2018).

7 UN General Assembly resolution 72/277, *Towards a Global Pact for the Environment*, A/RES/72/277 (10 May 2018), paras 1–2.

to the General Assembly, potentially leading to an intergovernmental conference to negotiate this instrument by spring of 2019.⁸

Against this context, [section I](#) of the present article identifies key interplays between sources of international water law and rules governing international economic law. In terms of international trade, these include gaps in the regulatory, normative, and institutional links between freshwater and the WTO system, regional trade frameworks, and the concept of virtual water. In the investment domain, such gaps are most evident in attempts to infer mutual supportiveness with the legal regime of freshwater and in the consideration of investment flows between riparian neighbors. [Section II](#) indicates how the potential Global Pact might effectively minimize or resolve such lacunae in the convergence of these regimes without undermining existing instruments and frameworks, leading to some concluding observations in [section III](#).

I. REGIME INTERPLAYS

A. Legal context for the Global Pact in the management of freshwater

Current international law largely aims to protect freshwater resources through a patchwork of global, regional, and basin agreements, with certain general principles and customary rules applicable to gaps therein. The need for comprehensive legal rules to govern the protection of this resource is underscored by its status as a vital element of human health and welfare.⁹ Among the long-standing threats to the human consumption of freshwater, contamination of water sources through chemical and industrial pollutants particularly threatens developing States and water-scarce areas.¹⁰ Additionally, the degradation of water quality poses a critical threat to biodiversity and the conservation of water-based ecosystems, which may suffer due to the introduction of invasive species in rivers and lakes¹¹ and alterations in precipitation and groundwater recharge due to deforestation.¹²

8 Ibid, para 2.

9 For example, the consumption of contaminated water or lack of access to clean water leads to approximately 1.7 million deaths annually, with such fatalities disproportionately affecting small children. World Health Organization, 'Water, health and ecosystems', <http://www.who.int/heli/risks/water/water/en/> (visited 24 August 2018); cf. World Health Organization, 'The cost of a polluted environment: 1.7 million child deaths a year, says WHO', 6 March 2017, <http://www.who.int/news-room/detail/06-03-2017-the-cost-of-a-polluted-environment-1-7-million-child-deaths-a-year-says-who> (visited 24 August 2018).

10 See, e.g., the impact of the inflow of nutrients on the fisheries in Lake Tanganyika and Lake Victoria in Africa, in William Darwall et al., 'The Status and Distribution of Freshwater Biodiversity in Eastern Africa' (Gland: International Union for the Conservation of Nature, 2005), at 5. See also C. Max Finlayson et al., 'Inland Water Systems', in Rashid M. Hassan, Robert Scholes, and Neville Ash (eds), *Ecosystems and Human Well-Being, Findings of the Condition and Trends Working Group of the Millennium Ecosystem Assessment* (Washington: Island Press, 2005) 572.

11 See, e.g., the impact of Nile perch in Lake Victoria, in Sarah Lowe et al., '100 of the World's Most Invasive Species Database' (Gland: International Union for the Conservation of Nature, 2000).

12 See, e.g., the impact of extensive deforestation over a thirty-year period on Colombia's freshwater reserves, in Rhett Butler, 'Local and national consequences of loss of local climate regulation', *Mongabay* [website], 22 July 2012, <http://rainforests.mongabay.com/0902.htm> (visited 24 August 2018). New York, 21 May 1997.

1. *Regulatory framework of international water law*

The UNWC is the global treaty that most directly governs the uses of freshwater. Recalling UN Charter Article 1(3) (which applies the principle of cooperation to the context of ‘international problems of an economic’ character) and Articles 2 and 13(1)(a) thereof—as well as the principles and recommendations adopted in the 1992 Rio Declaration and Agenda 21—the UNWC’s Preamble ‘express[es] the conviction that a framework convention will ensure the utilization, development, conservation, management and protection of international watercourses and the promotion of the optimal and sustainable utilization thereof for present and future generations’. The UNWC seeks this goal through several provisions establishing broad duties for States in respect of freshwater governance, such as duties of cooperation (Article 8) and environmental democracy through access to information (Article 9).¹³

The transversal nature of freshwater as an object of legal regulation is seen in the patchwork of other treaties and instruments governing aspects of its use, which differ substantially in their focus. This spectrum of treaties includes multilateral environmental agreements of a universal scope, such as the 2015 Paris Agreement. Further diversity of obligations relating to freshwater arises in a range of binding regional or basin-level instruments. Such treaties include European agreements such as the 1999 Convention on the Protection of the Rhine, African agreements such as the 2008 Niger Basin Water Charter, Asian agreements such as the 1995 Agreement on the Cooperation for the Sustainable Development of the Mekong River Basin, and bilateral treaties in the Americas such as the 1972 Great Lakes Water Quality Agreement. While some treaties governing freshwater may codify or operationalize general principles relevant to environmental protection,¹⁴ this patchwork is also supplemented by a number of non-binding instruments that aim to codify or progressively develop customary rules at the universal level,¹⁵ such as UN Sustainable Development Goal 6.¹⁶

13 See also UNWC Articles 5 and 6, which advance beyond earlier instruments such as the 1966 Helsinki Rules by expressly characterizing environmental protection as a component of the requirement of equitable and reasonable utilization of transboundary watercourses.

14 For example, the implementation of principles of sustainable development through the UNWC’s obligations of equitable and reasonable utilization.

15 Such instruments have evolved beyond foundational developments such as the 1977 Mar del Plata UN Water Conference and the 1979 Draft Principles of Conduct in the Field of the Environment for the Guidance of States in the Conservation and Harmonious Utilization of Natural Resources Shared by Two or More States of the UNEP Governing Council. Today, such non-binding instruments range widely in scope, from the 1992 Dublin Statement on Water and Sustainable Development to the International Law Commission’s 2008 Draft Articles on Transboundary Aquifers.

16 The human right to water has the potential to directly question conditions of water access and governance and thus to also highlight key social and environmental justice concerns. The elaboration of this right enables scrutiny of State–society relations around key environmental resources, potentially leading to more socially just and environmentally sustainable water futures. See generally Leila M. Harris, Lucy Rodina, and Cynthia Morinville, ‘Revisiting the Human Right to Water from an Environmental Justice Lens’, 3 (4) *Politics, Groups and Identities Journal* (2015). See further General Comment No. 15 (2002) to Articles 11 and 12 of the International Covenant on Economic, Social and Cultural Rights and UN General Assembly Resolution 64/292 (2010). See also *Suez Sociedad General de Aguas de Barcelona S.A. and Inter Agua Servicios Integrales des Agua, S.A. v. The Argentine Republic*, ICSID Case No. ARB/03/17 (Decision on Liability 2010).

2. Normative and institutional gaps

In spite of the aforementioned provisions, the UNWC is insufficient as a global governance mechanism for the protection of freshwater resources. As a preliminary matter, the UNWC expressly excludes from its scope '[t]he uses of international watercourses for navigation'.¹⁷ Acknowledging the many connections between navigation and the protection of watercourses, the International Law Commission (ILC) recognized that 'the exclusion of navigational uses from the scope of the [UNWC] cannot be complete'.¹⁸ Vessel-source pollution of freshwater thus falls within a multifaceted arrangement of legal regimes, giving rise to normative gaps.

Secondly, as a framework treaty, the UNWC's prescriptions are inherently broad and sometimes hortatory. This ensures flexibility for States to adopt implementing agreements in respect of individual watercourses, but in so doing sacrifices the benefits of more specific guidance as to the resulting form of freshwater protection.¹⁹ Specifically, despite Article 3's aspirations,²⁰ the UNWC does not provide any binding directives as to the establishment of joint enforcement or dispute settlement mechanisms, in order to see that the principle of equitable and reasonable utilization is given effect.²¹ Article 6's list of factors to be assessed in this utilization is non-exhaustive, leaving to States the difficult task of reaching subsequent agreement as to specific factors applicable in the use of their shared watercourses.²²

The interaction of provisions such as Articles 6 and 7 ('Obligation not to cause significant harm') of the UNWC is to be interpreted with due regard to the development of international environmental law. Customary principles and rules relating to environmental protection may clarify, organize, and define the meaning, substance, and scope of the rights and obligations established by water agreements, as well as supplement those rights and obligations. Accounting for the relevant legal context may allow an adaptive and dynamic interpretation and application of water agreements.²³ Yet it must be borne in mind that this analytical process arises directly from the fragmented character of the current framework of freshwater governance and the need to fill lacunae resulting from this relative lack of legal integration.

The myriad gaps in the current mosaic of binding and soft-law instruments related to the protection of freshwater resources are further complicated by the multidirectional manner in which these instruments interact. While the lacunae in the UNWC may be supplemented by subsequent agreements between riparian States, so too may the UNWC serve to fill gaps in existing agreements between these States.²⁴ Ambiguity in

17 Art. 1.

18 Ibid, ILC Commentary, at 89–90, para 4.

19 For example, assurances of uniformity in the minimum standards of protection accorded to freshwater resources.

20 Art. 3 encourages States to 'consider harmonizing [other] agreements with the basic principles of the present Convention'.

21 See *ibid*, arts. 8(2), 24, 32(2).

22 See *ibid*, art. 6(1).

23 See further Boisson de Chazournes, above n 3, ch. 4(V).

24 See art. 3.

the aforementioned systems may thus pose particular problems for regions where river or aquifer systems have not yet been subjected to binding and specific legal agreements among riparian States.

This fragmentation weakens the normative scope of principles of international environmental law in the field of water resources protection. For example, whereas the 1975 Statute of the River Uruguay refers only to 'pollution' without any ecosystemic perspective,²⁵ the 2002 Charter of Senegal River Waters pursues a more progressive approach. This gap leads to ambiguity in the application of environmental principles. In this respect, the International Court of Justice's (ICJ) conservative vision of the precautionary approach in the *Pulp Mills* case²⁶ reflects the legal uncertainty surrounding the application of such principles in the field of freshwater resources.

B. Contemporary links with international economic law

Beyond the UNWC's placement of '[t]he social and economic needs of the watercourse States concerned', among factors relevant to equitable and reasonable utilization of international watercourses,²⁷ its *travaux préparatoires* include several express provisions that emphasize economic interests in the interpretation of the UNWC's applicable law. These include references to the need for cooperation in light of growing economic, environmental, and physical interdependencies;²⁸ the trifurcation and characterization of potential uses as 'industrial, economic or private';²⁹ harmonious uses of terms and principles in the Charter of Economic Rights and Duties of States;³⁰ the potential provision of monetary compensation as an 'equitable resolution';³¹ and other legal instruments calling for greater economic utilization of hydrographic basins and streams for the production of electric power.³²

While the UNWC appears to have a long road to universal adoption, a holistic view of State obligations may require a State's adherence to norms embodied in the UNWC in light of its accession to related instruments of international economic law.³³ Reciprocally, international economic norms can complement and find application in the UNWC.³⁴ Indeed, the UNWC is one of several treaties that address water issues but that cannot be clinically isolated from the influences and consequences of economic

25 See ch. X.

26 *Pulp Mills on the River Uruguay (Argentina v Uruguay)*, Judgment, I.C.J. Reports 2010, 14.

27 Article 6(b) of the UNWC. Cf. Article 5, Draft Articles on the Law of Transboundary Aquifers, *Official Records of the General Assembly, Sixty-third Session, Supplement No. 10 (A/63/10)* (2008).

28 Article 5 of the UNWC, Comment 3, at 97; Comment 18, at 99–100; Comment 19, at 100.

29 Article 1 of the UNWC, Comment 5, at 90.

30 Article 8 of the UNWC, Comment 4, at 106; Article 17 of the UNWC, Comment 3, at 116.

31 Article 17 of the UNWC, Comment 3, at 116.

32 Article 10 of the UNWC, at 110.

33 See Surya P. Subedi, 'Regulation of Shared Water Resources in International Law: The Challenges of Balancing Competing Demands', in Surya P. Subedi (ed.), *International Watercourses Law for the 21st Century: The Case of the River Ganges Basin* (Farnham: Ashgate, 2005), at 7, 13–14.

34 See Boisson de Chazournes, above n 3, at 64.

norms.³⁵ International environmental law might thus be said to implicitly incorporate overlapping elements of international economic law and analysis.³⁶

1. Key aspects of international trade for water resources governance

a. Interactions within the WTO system Products are classified for the purposes of trade tariffs under the General Agreement on Tariffs and Trade (GATT) in accordance with the Harmonizing Commodity Description and Coding System.³⁷ The fact that this tariff list incorporates water in various respects—and indeed does not expressly exclude the treatment of water as a commodity—may be seen to imply that water in its natural state can be considered a good that is subject to obligations under WTO law.³⁸ Notably, factors such as increased agricultural production imply that instruments such as the GATT may have a growing impact on legal arrangements relating to international watercourses.³⁹

Now that the UNWC is in force, however, the precise nature of its harmonization with WTO instruments requires further refinement, such as the extent to which non-discrimination obligations affect the commercialization and export of freshwater resources. The application of international trade rules to international watercourses arguably adds an important factor in determining whether use of such waters is reasonable and equitable in light of the UNWC.⁴⁰ To that extent, the application of trade law can be particularly relevant to those who view the obligation of reasonable and equitable use as normatively superior to the obligation not to cause significant harm under the UNWC, to the extent that these are capable of conflict.⁴¹ In terms of more direct conflict between obligations under trade law and water law, some commentators have posited that such conflicts should be resolved in favor of free trade to the extent that freshwater protection norms under international agreements on transboundary watercourses were

35 See Laurence Boisson de Chazournes, 'Water and Economics: Trends in Dispute Settlement Procedures and Practice', in Edith Brown Weiss, Laurence Boisson de Chazournes, and Nathalie Bernasconi-Osterwalder (eds), *Fresh Water and International Economic Law* (Oxford: Oxford University Press, 2005), at 335. See further Lucius Caffisch, 'Règles générales du droit des cours d'eau internationaux', 219, *RCADI*, (1989-VII), at 9.

36 See Patricia Birnie, Alan Boyle, and Catherine Redgwell, *International Law and the Environment*, 3rd ed. (Oxford: Oxford University Press, 2009) 2–4. See further Lee Jing, *Preservation of Ecosystems of International Watercourses and the Integration of Relevant Rules: An Interpretative Mechanism to Address the Fragmentation of International Law* (The Hague: Martinus Nijhoff, 2014) 33–34; Musa M. Abseno, 'Role and Relevance of the 1997 UN Watercourses Convention in Resolving Transboundary Water Disputes in the Nile', 2:2 *International Journal of River Basin Management* (2013), at 193–96.

37 On the identification of water-related products, see World Customs Organization, *Harmonized Commodity Description and Coding System: Explanatory Notes*, 6th ed. (2017), Tariff Heading 2201.90.0000.

38 See further de Haan, above n 1, at 248.

39 University of Dundee Centre for Water Law, Policy and Science, 'The Legal Architecture for Transboundary Waters', UN Watercourses Convention: Online User's Guide, <http://www.unwatercoursesconvention.org/importance/the-legal-architecture-for-transboundary-waters/> (visited 1 February 2018).

40 See Articles 5 and 6 of the UNWC.

41 See Article 7 of the UNWC. See further Edith Brown Weiss, 'Water Transfers and International Trade Law', in Edith Brown Weiss, Laurence Boisson de Chazournes, and Nathalie Bernasconi-Osterwalder (eds), above n 35, at 64 (referencing 'the majority' of scholars as taking this position).

found to violate principles of non-discrimination.⁴² However, such conflict must not be lightly presumed.⁴³

Although the non-discrimination obligations of Articles I, III, and XIII of the GATT are potentially applicable to State measures affecting international watercourses, Article XI's broad prohibition against quantitative restrictions may be particularly relevant to bulk water exports, since it could be construed as restricting WTO Member States from enacting laws or policies that regulate these exports.⁴⁴ Notably, such non-tariff measures governed by the GATT are subject to general exceptions under GATT Article XX that may be relevant to norms reflected in the UNWC. These exceptions have not been directly applied to a dispute concerning trade in water, although at least one such WTO proceeding was initiated through a request for consultations.⁴⁵ In particular, measures concerning freshwater in its natural state could be considered 'necessary to protect human, animal or plant life or health' or 'relating to the conservation of exhaustible natural resources' within the meaning of GATT Articles XX(b) and XX(g), respectively.⁴⁶

The first of these exceptions is further elaborated in the Agreement on the Application of Sanitary and Phytosanitary Measures. If policies designed to prevent domestic water scarcity include freshwater export restrictions, such restrictions can arguably be justified under this exception.⁴⁷ The second exception could arguably justify policies designed to protect domestic water resources that include export restrictions on exhaustible flows of water.⁴⁸ Two specific cases may be helpful in reaching some precision regarding the scope of this exception vis-à-vis international watercourses. In *US—Shrimp*, the language employed by the WTO Appellate Body concerning

42 Arjen Y. Hoekstra, 'The Relation between International Trade and Freshwater Scarcity', WTO Economic Research and Statistics Division, ERSD-2010-05 [Working Paper] (January 2010), at 17, https://www.wto.org/english/res_e/reser_e/ersd201005_e.pdf (visited 1 February 2018).

43 Taking a view of relative coherence between multilateral and regional economic arrangements, see WTO, *World Trade Report 2011* ('The WTO and preferential trade agreements: from co-existence to coherence'), at 6 (referring to 'many' contemporary regional integration agreements, including commitments on environmental issues, as non-discriminatory), 7 (recalling that '84 per cent of world merchandise trade still takes place on a non-discriminatory' basis, despite the contemporary explosion of preferential agreements), 14 (noting general consensus that deep integration provisions are 'often non-discriminatory'), 15 (listing proposals for improving coherence between preferential agreements and the multilateral trading system), https://www.wto.org/english/res_e/booksp_e/anrep_e/world_trade_report11_e.pdf (visited 1 February 2018).

44 Alix Gowlland Gualtieri, 'Legal Implications of Trade in 'Real' and 'Virtual' Water Resources', in Philippe Cullet, Alix Gowlland Gualtieri, Roopa Madhav, Usha Ramanathan (eds), *Water Law for the Twenty-First Century: National and International Aspects of Water Law Reform in India* (Abingdon: Routledge 2009), at 65–66. For a pre-WTO dispute interpreting GATT Article XI, see Panel Report, *Canada – Measures Affecting Exports of Unprocessed Herring and Salmon*, BISD358/98, issued 22 March 1988.

45 See Request for Consultations by Canada, *Korea – Measures Concerning Bottled Water*, WT/DS20/1, filed 8 November 1995.

46 The scope of the 'health exception' in GATT Article XX(b) and its interrelation with Article 2.2 of the Agreement on Technical Barriers to Trade was raised, though not resolved, in challenges to Australia's 'plain packaging' tobacco regulations. See further Reports of the Panels, *Australia – Certain Measures Concerning Trademarks, Geographical Indications and Other Plain Packaging Requirements Applicable to Tobacco Products and Packaging*, WT/DS435/R, WT/DS441/R, WT/DS458/R, WT/DS467/R, issued 28 June 2018, paras 7.2966–67, 7.3070.

47 See Gowlland Gualtieri, above n 44, at 69.

48 See *ibid.*, at 70.

endangered sea turtles appears to leave little doubt that freshwater falls within the ambit of Article XX exceptions to trade liberalization, irrespective of climatological cycles that ostensibly replenish such resources ('living species, though in principle, capable of reproduction and, in that sense, "renewable", are in certain circumstances indeed susceptible of depletion, exhaustion and extinction, frequently because of human activities').⁴⁹ The Appellate Body's analysis in *China—Raw Materials* may further suggest that, in the context of 'critical shortages' of freshwater resources, additional specific exceptions are available without recourse to Article XX.⁵⁰

Other WTO Agreements can also interplay with the scope of the UNWC, such as the Agreement on Agriculture, Agreement on Technical Barriers to Trade and the Agreement on Subsidies and Countervailing Measures ('SCM Agreement').⁵¹ In respect of the last of these, analogy might be drawn to the *Softwood Lumber* saga, wherein the United States alleged that Canada had provided subsidies inconsistent with the SCM Agreement by conferring rights to harvest timber below adequate remuneration. Canada, in turn, argued that no subsidy had occurred because goods, as 'tradable items with an actual or potential tariff classification', did not include standing timber.⁵² In finding that Canada's argument would 'undermine the object and purpose of the SCM Agreement, which is to strengthen and improve GATT disciplines relating to the use of both subsidies and countervailing measures', the WTO Appellate Body reasoned that interpreting the term 'goods' so narrowly 'would permit the circumvention of subsidy disciplines in cases of financial contributions granted in a form other than money, such as through the provision of standing timber for the sole purpose of severing it from land and processing it'.⁵³ This decision would appear to be highly relevant to definitional issues that might arise in respect of international watercourse resources. In transposing the Appellate Body's 'severing' and 'processing' criteria, the former would seem to apply to all uses involving the removal of freshwater, while the latter could reasonably apply to all such uses, though arguably excepting the conferral of rights to engage in bulk water transfers.⁵⁴

49 WTO Appellate Body Report, *US – Import Prohibition of Certain Shrimp and Shrimp Products*, WT/DS58/AB/R, adopted 6 November 1998, para 128.

50 See WTO Appellate Body Report, *China – Measures Related to the Exportation of Various Raw Materials*, WTDS394/AB/R, WT/DS395/AB/R, WT/DS398/AB/R, adopted 22 February 2012 ('*China – Raw Materials*'), para 337.

51 See Gowland Gualtieri, above n 44, at 62–63, 66–67.

52 WTO Appellate Body Report, *United States – Final Countervailing Duty Determination with Respect to Certain Softwood Lumber from Canada*, WT/DS257/AB/R, adopted 19 January 2004, para 31.

53 Ibid, para 64.

54 Cf. Canadian Department of Foreign Affairs and International Trade, 'Bulk Water Removals and International Trade Considerations', 16 November 1999 (International Joint Commission, 'Protection of the Waters of the Great Lakes: Final Report to the Governments of Canada and the United States', 22 February 2000), Appendix 9, at 68, <http://www.ijc.org/files/publications/C129.pdf> (visited 1 February 2018); Brown Weiss, above n 41, at 67 (concluding that 'while technically these bulk transfers may constitute goods in trade, the precautionary approach in international law as developed and applied to fresh water makes it important to exclude them from the reach of trade law'); Jon R. Johnson, *The North American Free Trade Agreement: A Comprehensive Guide* (Aurora: Canada Law Book, 1994), 109–10 (arguing that a 'good' is 'something that is produced. [...] It must be extracted, harvested, collected, stored, graded, transported, refined, processed, assembled, packaged, or somehow transformed into an article of commerce').

b. Interactions within regional trade frameworks The WTO's conclusions on these points, however, are by no means conclusive in respect of regional trade mechanisms. Insofar as water treaties may be considered as multilateral environmental agreements (MEA), it is worth recalling that regional frameworks such as the North American Free Trade Agreement (NAFTA) permitted Contracting Parties to enumerate MEAs containing trade-related provisions that may, in turn, prevail in the event of conflict with trade obligations.⁵⁵ Indeed, the NAFTA Parties issued a joint declaration prior to that treaty's entry into force, stating that '[t]he NAFTA creates no rights to the natural water resources of any Party to the Agreement'. Through that interpretative statement, Canada, Mexico, and the United States defined a legal path *inter partes* that clearly diverges from that which the WTO would take in respect of standing timber.⁵⁶

Representatives of Canada and the United States subsequently reinforced this conclusion with respect to their shared institutional administration of the boundary waters known as the Great Lakes, in particular through a secretarial statement of the International Joint Commission (IJC).⁵⁷ Nonetheless, such statements from regional institutions should take care as to their analogical reasoning in reaching such conclusions. Indeed, by equating water in its natural state 'with other natural resources, such as trees in the forest', Canada appears to have undermined the IJC's conclusion to the extent that the WTO's subsequent determination in *Softwood Lumber IV* is taken into consideration.⁵⁸

2. Key aspects of international investment for water resources governance

a. Mutual supportiveness between water and investment treaty norms Disputes such as *Methanex v United States*,⁵⁹ *Bilcon v Canada*,⁶⁰ and *Pac Rim Cayman v El Salvador*⁶¹ have raised questions as to potential normative conflict between investment treaties

55 Brown Weiss, above n 41, at 65, n 15.

56 Joint Statement by the Governments of Canada, Mexico, and the United States (1993). See further Valerie Hughes and Gabrielle Marceau, 'WTO and Trade in Natural Resources', in Laurence Boisson de Chazournes, Christina Leb, and Mara Tignino (eds), *International Law and Freshwater: The Multiple Challenges* (Cheltenham: Edward Elgar, 2012), 402, at 449–450; David Johansen, 'Bulk Water Removals, Water Exports and the NAFTA', Library of Parliament of Canada, Law and Government Division, 31 January 2002 [Policy Paper], [http://publications.gc.ca/Collection-R/LoPBdP/BP/prb0041-e.htm#\(49\)](http://publications.gc.ca/Collection-R/LoPBdP/BP/prb0041-e.htm#(49)) (visited 1 February 2018).

57 IJC, 'Protection of the Waters of the Great Lakes: Interim Report to the Governments of Canada and the United States', 10 August 1999, at 21, <http://scholar.uwindsor.ca/cgi/viewcontent.cgi?article=1547&context=ijcarchive> (visited 1 February 2018).

58 IJC, 'Protection of the Waters of the Great Lakes: Final Report to the Governments of Canada and the United States', 22 February 2000, Appendix 9, at 67, <https://legacyfiles.ijc.org/publications/C129.pdf> (visited 9 November 2018).

59 *Methanex Corporation v United States of America*, UNCITRAL Arbitration (NAFTA), Final Award of the Tribunal on Jurisdiction and Merits, 3 August 2005, Pt. III, Ch. A-1, para 2 (referring to studies undertaking '[a]n analysis of current levels of MTBE in the state's drinking water, reservoirs, lakes and streams').

60 *William Ralph Clayton, William Richard Clayton, Douglas Clayton, Daniel Clayton and Bilcon of Delaware, Inc. v Government of Canada*, UNCITRAL Arbitration and PCA Case No. 2009-04 (NAFTA), Award on Jurisdiction and Liability, 17 March 2015, para 152 (acknowledging the premise that 'industrial activity that affects rivers and oceans which are habitat for fish and marine life generally come under federal legislative authority').

61 *Pac Rim Cayman LLC v The Republic of El Salvador*, ICSID Case No. ARB/09/12 (CAFTA-DR), Award, 14 October 2016, paras 8.33–8.35.

and the existing corpus of international law, including the UNWC *inter se* among its Contracting Parties, and the customary norms reflected therein *erga omnes*. This warrants examination in light of the view of the investment tribunal in *S.D. Myers v Canada* that ‘environmental protection and economic development can and should be mutually supportive.’⁶² A view of mutually supportive norms may reduce the appearance of conflicts of law in investment disputes, as recognized by collectives of developed States such as the Organisation for Economic Co-operation and Development (OECD).⁶³

To the extent that conflict between investment law norms and those embodied in the UNWC could be considered unavoidable in a particular instance, conflict-of-law rules may find application. For instance, commentators have observed that in the context of *Vattenfall v Germany*,⁶⁴ principles developed for conflicts between investment regimes and rules governing EU State aid might apply in the event that the investor’s State of incorporation (i.e., Sweden, another EU Member State) were to assume liability for environmental damage arising from its national’s investment.⁶⁵ EU law would appear to herald the possibility of such conflicts in the context of water quality issues arising under the UNWC, should the past practice of the European Commission reflect or influence the interpretative approach of Contracting Parties in the future.⁶⁶

b. Investment flows between riparian neighbors A key issue arising at the intersection of foreign direct investment and rights and obligations under the UNWC concerns foreign direct investment within the territory of a host State that is upstream from a third-party State. As a matter of general international law, a bilateral investment treaty (BIT) does not create obligations for third-party States without their consent.⁶⁷ To the extent that an investment pursuant to a BIT results in significant harm to a downstream riparian’s use of the watercourse (or inequity between the riparian States’ uses), the upstream riparian’s breach of the UNWC vis-à-vis the downstream riparian may be inferred from the UNWC and would appear to derive from its responsibility for the

62 *SD Myers, Inc. v Government of Canada*, UNCITRAL Arbitration (NAFTA), Partial Award, 13 November 2000, paras 220, 247.

63 See, e.g., OECD, ‘Harnessing Freedom of Investment for Green Growth’, Freedom of Investment Roundtable 14 (April 2011), <http://www.oecd.org/daf/inv/internationalinvestmentagreements/47721398.pdf> (visited 1 February 2018), at 3 (in which the drafters find that ‘their governments’ environmental and investment policy goals are compatible’, concluding ‘that those goals can be made mutually reinforcing and that this mutual supportiveness should be fostered’). See further OECD Guidelines for Multinational Enterprises, Part I, Section III, Chapeau (instructing enterprises to contribute to the sustainable development goals of international agreements); Clause 8 (expressly referencing the utility of partnerships).

64 *Vattenfall AB, Vattenfall Europe AG, Vattenfall Europe Generation AG & Co. KG (Sweden) v Federal Republic of Germany*, ICSID Case No. ARB/09/6 (Energy Charter Treaty).

65 See *Plama Consortium Ltd v Republic of Bulgaria*, ICSID Case No. ARB/03/24, Award (27 August 2008), para 214.

66 See, e.g., European Court of Justice, *Commission v Greece*, Judgment, 25 May 2000; European Court of Justice, *Commission v Italy*, Judgment, 25 April 2002; European Court of Justice, *Commission v Germany*, Judgment, 14 May 2002; European Court of Justice, *Commission v United Kingdom*, Judgment, 15 October 2002; European Court of Justice, *Commission v Ireland*, Judgment, 14 November 2002; European Court of Justice, *Commission v Belgium*, Judgment, 16 January 2003.

67 See Article 34, Vienna Convention on the Law of Treaties, 22 May 1969, 1155 UNTS 331. See further Article 20, Draft Articles on the Responsibility of States for Internationally Wrongful Acts, II(2), *Yearbook of the International Law Commission* (2001).

acts of the foreign investor within its territory (either on the basis of its approval of the project or by virtue of subsequent regulatory negligence). By this logic, the upstream riparian is not at liberty to invoke a defense of *force majeure* under general international law, as it would have ‘caused or induced the situation in question.’⁶⁸

This conclusion would seem to be consistent with the object and purpose of the UNWC. As a general premise, the UNWC requires that riparian States ‘shall, individually and, where appropriate, in cooperation with other States, take all measures with respect to an international watercourse that are necessary to protect and preserve the marine environment, [...] taking into account generally accepted international rules and standards.’⁶⁹ More specifically, the UNWC includes ‘industrial accidents’ under the rubric of emergency situations, in which case the upstream riparian is obliged to ‘notify other potentially affected States [...] of any emergency originating within its territory’, and ‘in cooperation with potentially affected States [...] immediately take all practicable measures necessitated by the circumstances to prevent, mitigate and eliminate the harmful effects of the emergency.’⁷⁰ Such obligations appear to persist irrespective of the fact that the more proximate cause of the harm or alteration of the watercourse is the act of a foreign national, rather than the upstream riparian government.

The existence of a multilateral investment agreement (MIA) among riparian neighbors raises a further question as to whether complications in the application of the UNWC can arise when a national of a downstream riparian invests in the territory of an upstream riparian. Given that international legal responsibility derives only from conduct attributable to the State under international law⁷¹—and acknowledging that the downstream riparian’s ratification of the MIA could not itself be construed as an internationally wrongful act or otherwise offset its entitlements under the UNWC—it would be difficult to attribute such responsibility from a private investor’s actions. This would require both that the downstream riparian has directed or controlled the investor’s operation in some form, and that the conduct complained of was an integral part of this operation,⁷² an analysis that suggests that the downstream riparian has injured itself. Attribution for this purpose would be most likely if there was evidence that the investor had been exercising public powers⁷³ or that the State was controlling the investor to achieve a specific result.⁷⁴

68 See Article 23, *ibid*, Comment 9 (citing *Libyan Arab Foreign Investment Co. v Republic of Burundi*, 96, *International Law Reports* (1994), 318, para 55 (rejecting a defense of *force majeure* because ‘the alleged impossibility [was] not the result of an irresistible force or an unforeseen external event beyond the control of [the host State]. In fact, the impossibility is the result of a unilateral decision of that State’)).

69 Article 23 of the UNWC. Cf. Articles 7 (duty to prevent significant harm) and 20 (duty to protect the watercourse ecosystem) of the UNWC.

70 Articles 28(1), (2), and (3) of the UNWC.

71 See Draft Articles on the Responsibility of States for Internationally Wrongful Acts, above n 67, Article 2.

72 See Article 8, Comments 1, 3, *ibid*.

73 See Article 8, Comment 6, *ibid* (citing *Phillips Petroleum Company Iran v Islamic Republic of Iran*, Iran–U.S. C.T.R., vol. 21, 79 (1984); *Petrolane Inc. v Islamic Republic of Iran*, Iran–U.S. C.T.R., vol. 27, 64 (1991)).

74 See Article 8, Comment 6, *ibid* (citing *Foremost Tehran, Inc. v Islamic Republic of Iran*, Iran–U.S. C.T.R., vol. 10, 228 (1986); *American Bell International, Inc. v Islamic Republic of Iran*, Iran–U.S. C.T.R., vol. 12, 170 (1986)).

Attribution may be somewhat more feasible in practice if the downstream riparian retains some direct stake in the investor⁷⁵ and the conduct of the investor ‘concern[s] governmental activity and not other private or commercial activity.’⁷⁶ This threshold could be met under certain circumstances by entities managing water and other public goods. An example from the energy sector is Gazprom, which is majority-owned by the Russian government, chaired by a former Prime Minister and current Special Presidential Representative for Cooperation with the Gas Exporting Countries Forum and endowed with authority to administer access to pipelines and set energy prices both at home and abroad.⁷⁷ Nevertheless, the scope of conduct required for this form of State attribution has been construed narrowly in investment practice. For example, in *Jan de Nul v Egypt*, an ICSID tribunal held the Suez Canal Authority to be a governmental authority in the general sense but found that the specific acts at issue (i.e., alleged misrepresentations concerning a dredging project) were commercial in nature, and thus did not constitute an exercise of this authority.⁷⁸

In the event that the acts of the investor are attributable to the lower riparian, this may constitute said State’s contribution to its own injury, thus perhaps offsetting its entitlements under the UNWC regarding harm or alteration of the watercourse.⁷⁹ While general international law imposes in this regard the fairly high threshold of acts or omissions that manifest a lack of due care on the part of the victim of the breach for his or her own property or rights,⁸⁰ the PCIJ in *S.S. Wimbledon* implicitly acknowledged that the secondary harm at issue—the captain of the Applicant’s flagged vessel had inadvertently damaged the ship through extended harboring, after being refused passage through the Kiel Canal—could affect the amount of compensation owed to the Applicant.⁸¹ On the other hand, in the event that the acts of an investor are not attributable to the lower riparian, the upper riparian is likely to remain fully liable for breaches of the UNWC even if it and the investor are found to have concurrently caused the harm or alteration. This remains the case where the concurrent cause is not the act of another State, but of a private individual (e.g., an investor).⁸² It does not appear

75 See further Article 5, Comment 2 *ibid.*

76 Article 5, Comment 5, *ibid.*

77 See Gazprom website at <http://www.gazprom.com/about/management/directors/> (visited 1 February 2018). See further Bruce Crumley, ‘Russia’s Gazprom Diplomacy: Turning Off Europe’s Heat’, *Time*, 31 January 2009, <http://content.time.com/time/world/article/0,8599,1870111,00.html> (visited 1 February 2018). For an example of Gazprom’s practice as claimant in investment treaty arbitration, see *OAO Gazprom v Republic of Lithuania*, UNCITRAL Arbitration and PCA Case No. 2011-16 (Lithuania–Russia BIT).

78 See *Jan de Nul N.V. and Dredging International N.V. v Arab Republic of Egypt*, ICSID Case No. ARB/04/13, Award, 6 November 2008, paras 156–157, 160–161, 166, 168–170, 173.

79 Cf. Article 16(2) of the UNWC; Article 16, para 2 of the UNWC Commentary. See further Nahid Islam, *The Law of Non-Navigational Uses of International Watercourses: Options for Regional Regime-Building in Asia* (Alphen aan den Rijn: Kluwer Law International, 2010) 167–68.

80 See Draft Articles on the Responsibility of States for Internationally Wrongful Acts, above n 67, Article 39, Comments 1 and 5.

81 See *ibid.*, Article 39, Comment 4 (citing PCIJ, *S.S. ‘Wimbledon’*, Judgment, 17 August 1923, at 15, 31).

82 See Draft Articles on the Responsibility of States for Internationally Wrongful Acts, above n 67, Article 31, Comments 12 and 13 (citing ICJ, *Corfu Channel (United Kingdom v Albania)*, Judgment, 9 April 1949, at 4, 17–18, 22–23; ICJ, *United States Diplomatic and Consular Staff in Tehran (United States v Iran)*, Judgment, 15 December 1979, at 29–32; *Zafiro Case*, UNRIIA, vol. VI, No. 1955.V.3 (1925), 160, at 164–165).

that any claim by the lower riparian for diplomatic protection over, for example, the expropriation of the investment following an industrial accident (to the extent this is not preempted by a request for arbitration from the investor)⁸³ would constitute double recovery in any of these contexts, as any harm to the foreign investor involves facts subsequent to—and a legal source separate from—liability for watercourse harm or alteration under the UNWC.

Among MIAs between riparian neighbors, the territory covered by NAFTA—and now its successor treaty, the United States–Mexico–Canada Agreement (USMCA)—includes major watercourses such as the Columbia River, Saint Lawrence River, and Yukon River; each of which flows between two Contracting Parties (Canada and the United States).⁸⁴ Usage of another such river, the Rio Grande, has been the subject of one of the few known cases concerning privatization of international watercourses and the private sector's role in this process.⁸⁵ In *Bayview v Mexico*,⁸⁶ the respondent had captured and diverted irrigation water for Mexican farm use, allegedly depriving investors of the right to import water from Rio Grande tributaries to the United States. An ICSID tribunal did not address the investor's claims, as it found as a preliminary matter that NAFTA Chapter 11 is not intended to provide substantive protections or rights of action to investors whose investments are wholly confined within their home State territory. Recalling that the governing water-sharing agreement is 'an agreement to apportion such waters as arrive in the international watercourse—the Rio Bravo/Rio Grande—between Mexico and the United States', the Tribunal determined the investment at issue to be insufficiently 'international'.⁸⁷

The dispute illustrates one example of the diversity of means of settlement that may arise in relation to conflicting economic interests in shared rivers. Concurrent with the investment arbitration, individuals and entities from both sides of another U.S.–Mexico watercourse (the Colorado River) filed suit in United States courts to stop construction of a canal that would reroute flows through a path that no longer traversed into Mexican territory, to the detriment of residents and businesses in the

83 See Convention on the Settlement of Investment Disputes between States and Nationals of other States (ICSID Convention), 14 October 1966, 575 UNTS 160, Article 27(1). See further Draft Articles on the Responsibility of States for Internationally Wrongful Acts, above n 67, Article 20, Comment 10.

84 On interplays between NAFTA investment law and freshwater resources, see Paul S. Kibel, 'Grasp on Water: A Natural Resource that Eludes NAFTA's Notion of Investment', 34 *Ecology Law Quarterly* (2007), at 655, 656; Céline Lévesque, 'Investment and Water Resources: Limits to NAFTA', in Marie-Claire Cordonier Segger, Markus W. Gehring, and Andrew P. Newcombe (eds), *Sustainable Development in World Investment Law* (Alphen aan den Rijn: Kluwer International Law, 2011), at 409, 410.

85 See Aysegül Kibaroglu and Radkha Ahmetova, 'The Privatization Initiatives in the Turkish Water Sector: Reflections on the Transboundary Water Politics in the Euphrates–Tigris River Basin', in Victor R. Quires, Hugh M. Milner, and Katherine A. Daniell (eds), *River Basin Management in the Twenty-First Century: Understanding People and Place* (Boca Raton: CRC Press, 2014), at 162, 183–184. See further Miguel Solanes and Andrei Jouravlev, *Revisiting Privatization, Foreign Investment, International Arbitration, and Water* (New York and Geneva: United Nations Publications, 2007) 16.

86 See further Boisson de Chazournes, above n 3, at 97.

87 *Bayview Irrigation District et al. v Mexico*, ICSID Case No. ARB(AF)/05/1 (NAFTA), Award, 19 June 2007, paras 104, 120.

Mexicali Aquifer region.⁸⁸ The claims in *Consejo de Desarrollo Económico de Mexicali v United States* were ultimately dismissed not on the examination of the claimants' asserted rights of prior appropriation, but because the treaty governing the allocation of Colorado River seepage rights between the two riparians did not provide individuals with *locus standi* (unlike standard investment treaties).⁸⁹ The same treaty had been at issue in earlier negotiations at the International Boundary and Water Commission aiming to remove Mexico's long-standing water debt to the United States.⁹⁰ Beyond investment arbitration and traditional litigation, commentators have suggested that this third approach—institutionalized cooperation—may bear fruitful application not only to the negotiation of sovereign water debt, but also to broader economic conflicts arising from water scarcity.⁹¹

II. POTENTIAL FOR HARMONIZATION WITHIN THE GLOBAL PACT

Having considered the foregoing range of existing tensions between international economic law and freshwater, one may turn back to the (near) future, in order to situate the Global Pact in this context. This project aims to cluster in a single instrument with legal force the major principles that guide environmental actions.⁹² Principles such as prevention, precaution, polluter-pays, environmental democracy, cooperation, the right to a clean and healthy environment, sustainable development, common but differentiated responsibility and respective capabilities, and non-regression and progression are applied in varying degrees across a spectrum of sectoral fields. In addition to the protection of freshwater resources, these fields include protection of the atmosphere, conservation of biological diversity and protection of soils, protection of oceans and seas, and regulation of hazardous substances, wastes, and activities.

This treaty marks an evolution beyond instruments such as the 1972 Stockholm Declaration and 1992 Rio Declaration, which espouse the founding principles of environmental law with significant symbolism but without any binding character.⁹³ The Draft Treaty drawn up by a group of experts in 2017 expressly acknowledges the need

88 See further Salman M.A. Salman, 'International Water Disputes: A New Breed of Claims, Claimants, and Settlement Institutions', 31:1 *Water International* (2006), at 2, 7–8.

89 Treaty to Resolve Pending Boundary Differences and Maintain the Rio Grande and Colorado River as the International Boundary between the United States of America and Mexico (Mexico City, 23 November 1970). See *Consejo de Desarrollo Económico de Mexicali, A. C. v United States*, 438 F.Supp.2d 1207 (2006). See further Nicole Ries, 'The (Almost) All-American Canal: Consejo de Desarrollo Económico de Mexicali v. United States and the Pursuit of Environmental Justice in Transboundary Resource Management', 35:3 *Ecology Law Quarterly* (2008), at 491.

90 The potential breadth of application of the 1970 treaty may be seen in challenges to US President Donald Trump's proposed border wall between the two States. See 'Mexico Worries that a New Border Wall Will Worsen Flooding', *National Public Radio*, 25 April 2017, <http://www.npr.org/2017/04/25/525383494/trump-s-proposed-u-s-mexico-border-wall-may-violate-1970-treaty> (visited 1 February 2018).

91 See, e.g., McCaffrey, above n 2, at 331–333.

92 See Global Pact for the Environment [website], <http://pactenvironment.org/> (visited 31 August 2018).

93 See Le club des juristes, 'Toward a Global Pact for the Environment' [white paper], September 2017, <http://pactenvironment.emediaweb.fr/wp-content/uploads/2017/07/White-paper-Global-Pact-for-the-environment.pdf> (visited 31 August 2018), at 3.

to encourage the implementation of such principles by economic actors, ‘taking into account their vital role in the protection of the environment.’⁹⁴ As such, the Global Pact poses significant implications for not only the health of the environment but also economic inclusion.⁹⁵ More specifically, this instrument—either as a binding treaty or as a codification of custom—has the potential to assist adjudicators in the systemic integration of these fields of international law.⁹⁶ Yet as recognized in the General Assembly resolution instituting the forthcoming negotiation process, these efforts ‘should not undermine existing relevant legal instruments and frameworks and relevant global, regional and sectoral bodies.’⁹⁷ The present section of this article therefore considers how the Global Pact may effectively formulate principles relevant to both freshwater and economic law, without contravening the existing legal frameworks detailed above.

A. Clarifying the character and weight of legal sources

Given its significant reliance upon applicable general principles, international environmental law has in practice been the subject of some confusion as to the legal character and weight of its sources. The Award in the *Iron Rhine* arbitration demonstrates the difficulty of systematizing these sources and assigning them a coherent nomenclature. After addressing rules applicable to the parties’ dispute by virtue of treaties in force, the tribunal observed that, regardless of their different terminology, environmental ‘rules’, ‘principles’, and ‘soft law’ in international environmental law all encompass the full range of environmental sectors, including freshwater.⁹⁸

As some applicable principles in environmental disputes may have roots in antiquity, reference to natural law may be justifiable.⁹⁹ For example, the principle of equitable utilization of shared natural resources may be viewed in light of that of *sic utere tuo ut alienum non laedas*, a norm of Roman private law.¹⁰⁰ This approach has found expression in the voice of Judge Cançado Trindade’s Separate Opinion in *Pulp Mills*, in which he referred to ethical concepts derived from ‘the universal juridical conscience [. . .] as the ultimate material “source” of all law’.¹⁰¹

94 Global Pact for the Environment, Preliminary Draft (Paris, 24 June 2017), <http://pactenvironment.emediaweb.fr/wp-content/uploads/2017/07/Global-Pact-for-the-Environment-project-24-June-2017.pdf> (visited 31 August 2018), art. 14. See also *ibid*, Preamble.

95 See Nathan Lobel, ‘World Leaders Discuss a Global Pact for the Environment’, Columbia Center on Sustainable Development, 26 September 2017, <http://ccsi.columbia.edu/2017/09/26/world-leaders-discuss-a-global-pact-for-the-environment/> (visited 7 October 2018).

96 See Le club des juristes, above n 93, at 33–34.

97 UN General Assembly resolution 72/277, above n 7, para 9.

98 *Award in the Arbitration regarding the Iron Rhine (Belgium v Netherlands)*, PCA Case no. 2003-02, Award, 24 May 2005, at 66, n 5.

99 See Edith Brown, ‘International Environmental Law and the Natural Law’, in David Deener (ed), *International Law of the Environment* (New Orleans: Pontchartrain Press, 1975), at 8.

100 The International Law Association recognized this as a general principle of law in 1955. See Winfried Lang, ‘UN-Principles and International Environmental Law’ (1999) 3 *Max Planck Yearbook of United Nations Law* 157 (1990), at 160.

101 Separate Opinion of Judge Cançado Trindade, *Pulp Mills on the River Uruguay (Argentina v Uruguay)* [2010], ICJ Rep 14, at 156.

While the principles applied by the Court in this manner may have broad application, some possess particular salience for the development of international environmental law. Thus, in the *River Meuse* case before the PCIJ, Judge Hudson considered the principle of equity (which would soon thereafter be applied in the *Trail Smelter* arbitration)¹⁰² to be tantamount to equality and observed that under 'Article 38 of the Statute, if not independently of that Article, the Court has some freedom to consider principles of equity as part of the international law which it must apply'.¹⁰³

Principles recognized under general international law, such as the obligation to settle disputes peacefully, do not necessarily require separate elaboration under international environmental law.¹⁰⁴ Indeed, the no-harm principle found in freshwater law finds application as well in international economic law, most notably in the sense that rules concerning actionable trade subsidies bar specific subsidies only if they cause an adverse effect on the complaining party.¹⁰⁵ Yet confusion can persist as to the role of general principles of law vis-à-vis 'general international law', as observed by Judge Ad Hoc Dugard in the *Certain Activities* case.¹⁰⁶

Since the main corpus of international environmental law is referred to as 'principles' because it largely emerged from universal soft law instruments (such as the Rio Declaration), in this sense these norms may be viewed as a body of customary international law.¹⁰⁷ These principles can of course find expression as well in treaties in force, which may include their modification for the purposes of regional agreements.¹⁰⁸ The Global Pact, as a legally binding instrument, would advance beyond the ambiguities of customary international law by providing adjudicators and decision-makers with clearer guidance as to the appropriate application of its constitutive principles to disputes and situations involving freshwater and trade or investment.

102 *Trail Smelter (United States v Canada)* (1938 and 1941), 3 RIAA 1905.

103 *River Meuse*, PCIJ, Ser. A/B, no. 70 (1937), at 77; *ibid*, Individual Opinion of Judge Hudson, at 76–77. See also *Continental Shelf (Tunisia/Libya)* [1982] ICJ Rep 18, at 60 (describing the principle of equity as a 'direct emanation of the idea of justice' and a 'general principle directly applicable as law' that should be applied as part of the corpus of international law 'to balance up the various considerations which it regards as relevant in order to produce an equitable result'). See further Philippe Sands et al., *Principles of International* (Cambridge: Cambridge University Press) 226, n 33.

104 See Lang, above n 100, at 169.

105 See Jelena Bäumlér, 'Implementing the No Harm Principle in International Economic Law: A Comparison Between Measure-Based Rules and Effect-Based Rules', 20 (4) *Journal of International Economic Law* 807 (2018), at 808.

106 See *Certain Activities Carried Out by Nicaragua in the Border Area (Costa Rica v Nicaragua)* and *Construction of a Road in Costa Rica along the San Juan River (Nicaragua v Costa Rica)*, Separate Opinion of Judge Dugard, [2015], at 4–5 (considering general principles of law to largely constitute procedural obligations but noting that reference to 'general international law' in *Pulp Mills* '[c]ertainly [...] includes both customary international law and general principles of law'). For the proposition that general principles may not be construed as separate legal obligations, see further *Mavrommatis Jerusalem Concessions (Greece v United Kingdom)*, PCIJ, Series A, No. 5, 1925 27.

107 See Makane M. Mbengue and Susanna Waltman, 'Health and International Environmental Law', University of Geneva Working Paper (2017), at 9.

108 See Boisson de Chazournes, above n 3, at 147 (concerning the protection of vital human needs, in the context of the UNWC and the 2008 ILC Draft Articles on the Law of Transboundary Aquifers). See generally Makane M. Mbengue, 'The Senegal River Legal Regime and Its Contribution to the Development of the Law of International Watercourses in Africa', in Boisson de Chazournes et al., above n 56, at 217–36.

B. Accelerating implementation through decentralization

Implementation of the Global Pact would require that its principles be transduced into State-level laws and regulations, and the monitoring of their application entails the consideration of both legal and economic factors.¹⁰⁹ A large majority of States have already incorporated generically formulated environmental principles into their constitutions since the 1972 Stockholm Declaration, with some going further in codifying more specific constitutional provisions including the right of access to water.¹¹⁰ Constitutional courts have thus far played a critical role in implementing these principles in disputes involving large-scale economic interests. The Constitutional Courts of Ecuador and Latvia have identified breaches of the right to a healthy environment in cases involving industrial production and land development, respectively, with the latter referencing the Stockholm Declaration and Aarhus Convention in elaborating on this principle.¹¹¹ The Supreme Court of Chile inferred the same constitutional right in a dispute involving a major logging project, which itself was subsequently the focus of a finding by the Inter-American Commission on Human Rights of a breach of environmental democracy principles (specifically access to information).¹¹² In another timber-clearing dispute, the Supreme Court of the Philippines inferred from the constitutional right to a healthy environment the corollary principle of intergenerational responsibility.¹¹³ In a case involving pollution of the atmosphere and the cultural preservation of the Taj Mahal, the Supreme Court of India issued a sweeping edict mixing constitutional analysis with three principles sourced from international law (precautionary principle, the polluter-pays principle, and the principle of sustainable development).¹¹⁴

The protection of freshwater resources has provided no less opportunity for this symbiotic relationship between the reasoning of national courts and the crystallization of such principles within the framework of international law. Foundational environmental law cases in Canada and the United States set the stage for such developments in that region in disputes involving hydroelectric projects on major rivers.¹¹⁵ In a saga drawing upon principles of sustainable development and intergenerational responsibility, Greece's Council of State (its supreme administrative court) ruled against a large-scale irrigation and energy project in the Acheloos River, following an opinion from the Court of Justice of the European Union expressing concerns regarding the water diversion's potential environmental harm.¹¹⁶ In a case with similarities to the aforementioned *Vattenfall* claims under the Energy Charter Treaty, the German Constitutional Court

109 See *Le Club des Juristes*, above n 93, at 36.

110 See *ibid.*, at 20.

111 See *ibid.*, at 21.

112 The 'Trillium Case', Decision No. 2.732.96, Supreme Court of Chile, March 19, 1997, at 8, para 12; *Claude-Reyes et al. v Chile*, IACHR Judgment of 19 September 2006 (Merits, Reparations and Costs). See further James R. May and Erin Daly, *Global Environmental Constitutionalism* (Cambridge: Cambridge University Press, 2015), at 110–111.

113 Case 224 SCRA 792, Supreme Court of the Philippines, 30 July 1993.

114 *MC Mehta (Taj Trapezium Matter) v Union of India* (1997) 2 SCC 353.

115 See further, discussing cases concerning the Hudson and Great Whale Rivers, Oliver A. Houck, *Taking Back Eden: Eight Environmental Cases that Changed the World* (Washington: Island Press, 2009), at 7–22, 61–88.

116 See Sophia Kalantzakos, 'River Rights and the Rights of Rivers: The Case of Acheloos', 6 *RCC Perspectives* 45 (2017), at 47–49.

found that the government's expropriation of nuclear power projects on the Elbe River for environmental protection purposes had exceeded the scope of proportionality,¹¹⁷ thus clarifying this component of the precautionary principle.

As centralized decision-making bodies, international courts and tribunals have been relatively hesitant to formally recognize 'general principles of international law'.¹¹⁸ The WTO Appellate Body has been called upon to address several disputes concerning environment-related trade measures, and normative gaps have been evident in its reluctance to apply environmental principles to justify measures that are inconsistent with trade obligations (unless expressly prescribed in the relevant WTO agreement).¹¹⁹ The Global Pact has the potential to ameliorate this situation as an instrument that compels States to incorporate its common understandings into their municipal systems, thus providing legal effects both as a treaty and as a harmonizing agent for the identification of general principles in domestic practice. Even to the extent that consensus among legal systems is easier to locate as concerns procedural principles, a number of such principles have been shown to demonstrate links with substantive obligations. For example, the obligations of equitable and reasonable utilization and prevention of transboundary harm are closely linked with procedural duties concerning notification, consultation and negotiation, and the exchange of information.¹²⁰ Notably, the status of these duties of cooperation as general principles has thus far been the subject of some hesitant consideration by investment arbitration tribunals.¹²¹

C. Retroactive application

By codifying principles at the nexus of freshwater and international economic law, the Global Pact not only would inform future State practice and treaty drafting, but

117 1 BvR 2821/11, 1 BvR 1456/12, 1 BvR 321/12, Bundesverfassungsgericht, Urteil, 6 Dezember 2016 (6 December 2016). For an official English summary, see Bundesverfassungsgericht, Press Release No. 88/2016 of 6 December 2016, http://www.bundesverfassungsgericht.de/SharedDocs/Pressemittelungen/EN/2016/bvg16-088.html;jsessionid=D6A15080C9CF34604A8541E39DB17146.2_cid361 (visited 1 February 2018).

118 See Nicolas de Sadeleer, *Environmental Principles: From Political Slogans to Legal Rules* (Oxford: Oxford University Press, 2002), at 243. See also Birnie, Boyle and Redgwell, above n 36, at 27, n 33.

119 See, e.g., *European Communities-Measures concerning Meat and Meat Products (Hormones)* (16 January 1998) WT/DS26/AB/R (concerning the precautionary principle and the Agreement on the Application of Sanitary and Phytosanitary Measures).

120 See Owen McIntyre, 'The Proceduralisation and Growing Maturity of International Water Law', *Pulp Mills* 488–489, n.50. See generally Christina Leb, *Cooperation in the Law of Transboundary Water Resources* (Cambridge: Cambridge University Press, 2013). The principle of prevention has been found to apply to the issuance of administrative permits for installations with transboundary effects. In a case brought by Dutch tulip producers, the courts of the Netherlands found that French extractors of potash could not rely upon France's authorization to discharge polluted water into the Rhine. See S. Nassr-Esfahani and M. Wemckstern, 'Der Rheinversalzungsprozess' (1985) 49 *RabelsZ* 740.

121 See, e.g., *Grand River Enterprises Six Nations, Ltd., et al. v United States of America*, ICSID Case No. ARB/10/5, Award (12 January 2011), 54 (acknowledging that a customary principle may exist that requires governments to consult indigenous peoples on government actions significantly affecting their use of their territory). See further Laurence Boisson de Chazournes and Brian McGarry, 'Constitutional Law and the Settlement of Investor-State Disputes: Some Interplays', in Charles C. Jalloh and Olufemi Elias (eds), *Shielding Humanity: Essays in International Law in Honour of Judge Abdul G. Koroma* (Leiden: Brill, 2015), at 230, 236–238.

also may provide greater predictability in the settlement of disputes involving extant treaties with potential environmental dimensions. This is evident in the application of evolutive treaty interpretation by courts and tribunals, particularly in regard to environmental disputes. The ICJ's treatment of the principles of sustainable development (and more specifically, intergenerational responsibility) in *Gabčíkovo–Nagymaros* demonstrated its inclination to interpret treaties in light of evolving environmental principles. As it observed regarding the parties' bilateral treaty, '[t]he awareness of the vulnerability of the environment and the recognition that environmental risks have to be assessed on a continuous basis have become much stronger in the years since the treaty's conclusion.'¹²² A similar inclination was demonstrated by the tribunal in the *Iron Rhine* arbitration, which cited both the ICJ's *Gabčíkovo–Nagymaros* Judgment and Article 31(3)(c) of the 1969 Vienna Convention on the Law of Treaties as support for the proposition that 'an evolutive interpretation, which would ensure any application of the treaty that would be effective in terms of its object and purpose, will be preferred to a strict application of the intertemporal rule.'¹²³ The same reasoning would be adopted by the Court of Arbitration in the *Indus Waters Kishenganga* arbitration.¹²⁴

The approach of these courts and tribunals is consistent with the gap-filling function of general principles, as a treaty cannot through silence preclude the potential application of subsequently emergent principles.¹²⁵ The same conclusion can thus be drawn as concerns economic instruments that expressly incorporate principles of international law by general reference. For example, in one of the investment cases to emerge from the Libyan crude oil dispute in the 1970s, a contractual clause provided that the concession agreements may only be subject to the provisions of Libyan law so long as they are 'common to the principles of international law and in the absence of such common principles then by and in accordance with the general principles of law, including such of those principles as may have been applied by international tribunals.'¹²⁶

D. Novelty and generality as consensus-building tools

A final advantage of the Global Pact as a means to clarify the norms governing economic disputes involving freshwater is the stark contrast between its early

122 *Case Concerning the Gabčíkovo–Nagymaros Project* 68 (n.14). See further *Request for an Examination of the Situation in Accordance with Paragraph 63 of the Court's Judgment of 20 December 1974 in the Nuclear Tests (New Zealand v France) Case* [1995] ICJ Rep 288, Dissenting Opinion of Judge Weeramantry 341. See also Dissenting Opinion of Judge Ad Hoc Palmer 408 (citing *Certain Phosphate Lands in Nauru* as a sign of the ICJ's willingness to contribute to the development of principles of international environmental law).

123 *Arbitration Regarding the Iron Rhine Railway (Belgium v Netherlands)* (2005), 80. See also 66–67 (citing *Gabčíkovo–Nagymaros* for the premise that environment and development are 'mutually reinforcing, integral concepts').

124 *Indus Waters Kishenganga Arbitration (Pakistan v India)*, PCA Case no. 2011-01, Partial Award, 18 February 2013, at 171.

125 See further Alan Boyle, 'Gabčíkovo–Nagymaros Case: New Law in Old Bottles', 8 *Yearbook of International Environmental Law* 13 (1998), at 15.

126 *Texas Overseas Petroleum Co & California Asiatic Oil Co v Libyan Arab Republic* (1978) 17 ILM 1, para 23.

momentum and the sluggishness with which treaty practice in the trade and investment sectors currently approaches environmental norms. As concerns trade, while the principle of mutual supportiveness has been referenced in environmental treaties featuring trade components,¹²⁷ the Doha Round has spent nearly two decades at an impasse over how to apply this principle.¹²⁸ Ongoing failure to reach consensus on the implementation of mutual supportiveness of trade and environment suggests a widening gap between these two normative regimes. In terms of investment, the frequency of some approaches to include references to environmental concerns in investment agreements has declined in recent years, including the use of clauses that reserve policy space for environmental regulation and broader references in treaty preambles.¹²⁹ Normative gaps arise because the specific environmental concerns explicitly addressed in these agreements are limited and have generally not evolved to include more recent large-scale concerns affecting freshwater, such as climate change and biodiversity.¹³⁰

The codification of existing general environmental norms in the Global Pact may be significantly less risky and more efficient than the innovation of norms at a sector-specific level.¹³¹ This is evident in reference to environmental norms in recent regional trade agreements and bears particular consequences for freshwater governance. For example, among the 114 environmental norms in the EU–Canada Comprehensive Economic and Trade Agreement, the only clear innovation is a provision that *excludes* water from the scope of the treaty¹³²—a policy goal that Canada took pains to achieve again in the USMCA.¹³³ The effective implementation of the Global Pact may depend upon the premise that it can, through the codification of general principles, achieve shared governance objectives that remain more difficult in sector-specific negotiations. Indeed, its potential reference to principles of research and innovation, such as technology transfer and knowledge-sharing, is arguably critical to developing States’ respective capacities to give appropriate effect to many of the other principles its prospective drafters may seek to codify.¹³⁴

127 See, e.g., 1998 Rotterdam Convention on the Prior Informed Consent Procedure for Certain Hazardous Chemicals and Pesticides in International Trade; 2000 Cartagena Protocol on Biosafety to the UNWC on Biological Diversity; 2001 Stockholm Convention on Persistent Organic Pollutants; 2013 Minamata Convention on Mercury.

128 See further WTO Ministerial Declaration (Doha, 14 November 2001), para 31.

129 See Kathryn Gordon and Joachim Pohl, ‘Environmental Concerns in International Investment Agreements: A Survey’, OECD Working Papers on International Investment 2011/01, at 6.

130 See *ibid.*, at 24.

131 See Jean Frédéric Morin, Joost Pauwelyn, and James Hollway, ‘The Trade Regime as a Complex Adaptive System: Exploration and Exploitation of Environmental Norms in Trade Agreements’, 20 (2) *Journal of International Economic Law* 365 (2017), at 383.

132 *Ibid.*

133 USMCA, United States–Canada Side Letter on Natural Water Resources, <https://ustr.gov/trade-agreements/free-trade-agreements/united-states-mexico-canada-agreement/united-states-mexico> (visited 12 October 2018).

134 See Wei Zhuang, *Intellectual Property Rights and Climate Change: Interpreting the TRIPS Agreement for Environmentally Sound Technologies* (Cambridge: Cambridge University Press, 2017), at 1.

III. CONCLUSION

A watercourse that is utilized in an environmentally unsustainable manner is destined to become economically unsustainable as well.¹³⁵ In particular, the incorporation of sustainable development principles within the UNWC implicitly raises challenges to maintain balance among its non-hierarchical system of economic and environmental watercourse uses. Indeed, the principle of sustainability might be said to limit the freedom of States to balance interests, thus enjoying a position of priority by joining economic and environmental uses.¹³⁶ For example, such a balance may be achieved by considering both the 'legitimate interests' of a foreign investor and those of environmental protection under the circumstances.¹³⁷ The Global Pact provides opportunities to calibrate this balance by drawing inspiration from trade and investment law to supplement gaps in the freshwater regime, such as the UNWC's prohibition of nationality-based discrimination in granting access to judicial and other procedures, which does not clearly impose a duty to develop these procedures at a level sufficient to protect public participation and provide access to remedies.¹³⁸

Some prominent advocates for the Global Pact have framed it rather problematically as a 'third generation' of fundamental rights, following the International Covenant on Civil and Political Rights and the International Covenant on Economic, Social and Cultural Rights.¹³⁹ Distinguishing the Global Pact in this manner undercuts one of its central functions: to recognize and normatively manage the existing interrelations of international environmental and economic law. Indeed, while the Global Pact aims to serve a gap-filling function in order to supplement or complement *lex specialis* rules, its constituent principles may further serve the interests of mutual supportiveness by

135 See Attila Tanzi 'The Economic Commission for Europe Water Convention and the United Nations Watercourse Convention: An Analysis of Their Harmonized Contribution to International Water Law' (New York and Geneva: United Nations, 2015) 16.

136 See Douglas Fisher, *The Law and Governance of Water Resources: The Challenge of Sustainability* (Cheltenham: Edward Elgar, 2009) 201; Bonaya A. Godana, *Africa's Shared Water Resources* (London: Frances Pinter Publishers, 1985) 333. This should not be considered to deprive Article 10(2) of the UNWC of meaning (obliging States to give 'special regard' to 'the requirements of vital human needs'). See further General Comment No. 15 (2002) on 'The right to water (Articles 11 and 12 of the International Covenant on Economic, Social and Cultural Rights)', adopted by the UN Committee on Economic, Social, and Cultural Rights at its 29th session in 2002; Stephen McCaffrey, 'The Human Right to Water', in Edith Brown Weiss, Laurence Boisson de Chazournes, and Nathalie Bernasconi-Osterwalder (eds), above n 35, at 100–101, 113–114.

137 See Lothar Gündling, 'On the Settlement of Investments and Environmental Disputes: Remarks from the Floor', in Permanent Court of Arbitration, *International Investments and Protection of the Environment: The Role of Dispute Resolution Mechanisms* (The Hague: Kluwer Law International, 2001), at 125, 130.

138 See Article 32 of the UNWC.

139 See Global Pact for the Environment [website], 'Les raisons du Pacte', <http://pactenvironment.org/fr/aboutpactenvironment/les-raisons-du-pacte> (visited 12 October 2018); *ibid*, '100 Jurists Call for action for the adoption of a Global Pact for the Environment', Paris, 9 October 2018, <http://pactenvironment.emediaweb.fr/wp-content/uploads/2017/07/ENGLISH.pdf> (visited 12 October 2018); Yann Aguila et al., 'The Time Is Now for a Global Pact on the Environment', *The Guardian*, 9 October 2018, <https://www.theguardian.com/environment/2018/oct/09/the-time-is-now-for-a-new-global-climate-pact> (visited 12 October 2018).

facilitating the synthesis of sources of international law.¹⁴⁰ The treaty's potential for promoting the mutual supportiveness of environmental and economic norms has been particularly highlighted as giving rise to different outcomes than those seen in some recent WTO cases, such as the Appellate Body's limitation on State controls in *India—Solar Cells*.¹⁴¹

As President of the General Assembly Miroslav Lajčák recognized in September 2018, the Global Pact has the potential to accelerate implementation of the 2030 Agenda for Sustainable Development and 'could give us the push forward that we need—as we adapt to new economic models'.¹⁴² The overwhelming support among UN Member States for the negotiation of the Global Pact may be reason for cautious optimism regarding their ability to agree to a degree of terminological specificity in the eventual drafting of this treaty. Such precision would substantially aid the Global Pact's achievement of these objectives as concerns international water law and the trade and investment sectors.

140 See further Report of the Study Group of the International Law Commission finalized by Martti Koskenniemi, 'Fragmentation of International Law: Difficulties arising from the Diversification and Expansion of International Law', UN Doc. A/CN.4/L.682, 207 (2006), para 43.

141 See Margaret Young, 'Global Pact for the Environment: Defragging international law?', *EJIL: Talk!*, 29 August 2018, <https://www.ejiltalk.org/global-pact-for-the-environment-defragging-international-law/> (visited 10 October 2018).

142 Statement by H.E. Mr. Miroslav Lajčák, President of the 72nd Session of the UN General Assembly, at Organizational Session of the Ad Hoc Open-Ended Working Group that was established by General Assembly Resolution 72/277 of 10 May 2018 entitled 'Towards a Global Pact for the Environment' (5 September 2018), <https://www.un.org/pga/72/2018/09/05/towards-a-global-pact-for-the-environment/> (visited 30 September 2018).